BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

25-E-XXXX;25-G-XXXX

January 2025

Prepared Testimony of:

Customer Energy

Solutions Panel

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
CUSTOMER ENERGY SOLUTIONS PANEL

TABLE OF CONTENTS

I. Introduction 2
A. Introduction and Qualifications of Panel Members 2
B. Overview of Exhibits 7
C. Overview of CES Organization 7
D. Purpose of Filing 9
E. Overlap with Other Commission Proceedings 12
II. Project and Program Discussion 18
A. Summary Information 18
B. Customer Empowerment Initiatives 18
1. Affordable Multifamily Electrification Pilot 19
2. Customer Clean Energy Programs (CCEP) Staffing 25
3. EV Technology and Market Studies 28
4. Select Pricing Plan (SPP) Price Guarantee 32
C. Increasing Grid Visibility and Flexibility Initiatives 36
1. Advanced Metering Infrastructure (AMI) Equipment Purchase and Metering Installations 38
2. Utility-Integrated Storage Management Program 40
3. Distribution Planning Staffing 43
III. Earnings Adjustment Mechanisms (EAMs) 48

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
DIRECT TESTIMONY OF CUSTOMER ENERGY SOLUTIONS PANEL

I. Introduction

A. Introduction and Qualifications of Panel Members

Q. Would the members of the Customer Energy Solutions (CES) Panel (CES Panel or Panel) please state your names and business addresses?

A. Raghusimha Sudhakara, Gregory Elcock, Britt Reichborn-Kjennerud, Thomas Magee, and Michael Badeski. Our business address is 4 Irving Place, New York, NY 10003.

Q. By whom are the Panel members employed?

A. We are employed by Consolidated Edison Company of New York, Inc. (Con Edison or the Company).

Q. In what capacity are the Panel members employed and what are their professional backgrounds and qualifications?

A. (**Sudhakara**) I am Raghusimha Sudhakara, Vice President of Distributed Resource Integration (DRI). I lead company initiatives for clean transportation, distributed and clean energy resources, such as storage and solar, and demand management, grid flexibility and planning, such as demand response (DR). I previously worked in several different positions of increasing responsibility within Con Edison, including Policy Advisor, Energy Markets Policy; Strategy Manager, Targeted Demand Management; Section Manager,

Regulatory & Stakeholder Engagement; and Director, E-Mobility. Before joining Con Edison in 2012, I worked as a consultant to power generation companies on power plant efficiencies. I have a dual Master of Public Administration degree in Public Administration from Sciences Po, Paris and Columbia University, New York; a Master of Science degree in Mechanical Engineering from the University of Missouri; and a Bachelor of Science degree in Mechanical Engineering from National Institute of Technology Karnataka.

(**Elcock**) I am Gregory Elcock, Vice President of Customer Clean Energy Programs (CCEP). I am responsible for the direction and execution of the Company's energy efficiency (EE) and building electrification (BE) products and programs, which include a broad array of customer-focused initiatives designed to give customers control over their energy choices while reducing fossil fuel reliance. I previously served in several different capacities of increasing responsibility within Con Edison, including Manager, Energy Efficiency Programs; Section Manager, Strategic Services; Department Manager, Distributed Resource Integration; Director, State Regulatory Affairs; and Director, Energy Efficiency & Demand Management. Before

joining Con Edison in 2009, I worked for the Community Environmental Center (CEC) for over 10 years, where I managed the organization's multifamily energy efficiency businesses in New York City and a diversified range of other New York State (State) and City of New York (City) energy efficiency contracts. I have a Master of Science degree in Sustainability Management from Columbia University and a Master of Science degree in Energy Management from New York Institute of Technology. I obtained my baccalaureate degree in Economics from the University of the West Indies, Trinidad and Tobago.

(**Reichborn-Kjennerud**) I am Britt Reichborn-Kjennerud, Director of E-Mobility. I am responsible for leading the strategy, design, implementation, and operations to advance electrification of the transportation sector throughout Con Edison's service territory. I previously served in several different capacities of increasing responsibility within Con Edison, including Senior Specialist, Research & Development; Project Specialist, Demonstration Projects; Strategy Manager, Non-Wires Solutions; Section Manager, Electric Vehicles; and Department Manager, Electric Vehicles. Prior to joining Con Edison, I spent a decade in research at

Columbia University, where I earned a doctorate in Physics and a Master of Arts in Philosophical Foundations of Physics. I obtained my Bachelor of Arts in Astronomy from Yale University.

(**Magee**) I am Tom Magee, General Manager of Advanced Metering Infrastructure (AMI) Operations and Solutions. I was the business lead for the Company's AMI Project, which included a full-scale rollout of AMI smart meters and supporting infrastructure for the Company's electric and gas customers. I have been employed by Con Edison for 39 years. I have held various positions of increasing responsibility over my tenure, including Watch Supervisor, Ravenswood Generating Station; Associate Engineer, Electrical Engineering; Engineer, Fossil Power Engineering; Project Manager, Energy Management – Power Plant Divestiture; Section Manager, Steam Distribution Engineering; Section Manager, East River Repowering Project; Technical Manager, East River Generating Station; and General Manager, Smart Grid Implementation Group. I hold a Bachelor of Science degree in Marine Engineering from the U.S. Merchant Marine Academy.

(**Badeski**) I am Michael Badeski, Section Manager of Strategy within E-Mobility. I am responsible for E-Mobility's

strategic approach to integrating electric vehicles into our grid through design of customer programs for grid-beneficial charging and projecting grid loads resulting from transportation electrification. Before joining Con Edison in 2024, I co-founded and was Chief Operating Officer (COO) of an industrial agriculture company before selling the business in 2023. Prior to that, I worked as Strategic Partnerships Manager for a construction technology company; as an industrial engineering consultant; and as a mechanical designer. I have a Master of Business Administration from INSEAD and a Bachelor of Mechanical Engineering from McGill University.

Q. Have any members of the Panel previously testified before or submitted testimony with the New York State Public Service Commission (PSC or Commission)?

A. Messrs. Elcock and Magee submitted testimony before the Commission in Cases 19-E-0065 and 19-G-0066 (2019 Con Edison Rate Cases) and 22-E-0064 and 22-G-0065 (2022 Con Edison Rate Cases). The other Panel members have not testified or submitted testimony.

B. Overview of Exhibits

Q. Do you have any exhibits that accompany this testimony?

A. Yes, the CES Panel is presenting 7 exhibits, Exhibit___(CES-1) through Exhibit___(CES-7).

Q. Were these exhibits prepared under the Panel's direction and supervision?

A. Yes. The Panel describes each of these exhibits below and will refer to them in our testimony:

- Exhibit___(CES-1) Summary of CES Panel Capital Requests
- Exhibit___(CES-2) Summary of CES Panel O&M Requests
- Exhibit___(CES-3) Summary of CES Panel FTE Requests
- Exhibit___(CES-4) CES Organizational Chart
- Exhibit___(CES-5) Combined Summary of CES Organization Requests Across CES and IT Panels
- Exhibit___(CES-6) CES Panel White Papers
- Exhibit___(CES-7) EAM Exhibit

C. Overview of CES Organization

Q. Please explain the function of the CES organization.

A. CES develops and administers programs to advance the clean energy transition by encouraging customer adoption of clean energy technologies. CES's portfolio includes administering

clean energy and transportation incentive programs, implementing advanced customer metering, implementing tools to expand grid flexibility and integrate customer clean energy technologies, such as distributed energy resources (DER), into the Company's energy systems, assisting with distribution planning, and identifying future electrification infrastructure needs.

Q. Please provide an overview of the CES organization.

A. The CES organization consists of the following: Customer Clean Energy Programs (CCEP), Distributed Resource Integration (DRI), Digital Products, AMI Operations and Solutions, Rate Engineering, and Customer Operations, which was integrated with CES in early 2024. Please refer to Exhibit___(CES-4) for a visual representation of our organizational structure.

Q. Are all these areas discussed in this testimony?

A. No. Rate Engineering (Demand Analysis and Cost of Service Panel, Electric Rate Panel, and Gas Rate Panel) and Customer Operations have separate testimonies. But Rate Engineering's staffing requests are included within the CES Panel. Hereafter, when this testimony refers to CES, it is addressing all CES areas except Customer Operations.

D. Purpose of Filing

Q. Please summarize and briefly explain the purpose of the Panel's testimony.

A. We propose investments and programs to continue to support implementation of the clean energy transition by **empowering our customers** and **increasing grid visibility and flexibility**. They include proposals to further integrate DER into our energy systems, expand clean energy access for low- to moderate-income (LMI) customers, and evolve our planning processes to prepare the grid for the demands of the clean energy transition. Our investments build off the Company's current clean energy program offerings, such as light and medium-heavy duty electric vehicle (EV) charging infrastructure (Case Nos. 18-E-0138 and 23-E-0070, respectively), and energy efficiency and building electrification (Case No. 18-M-0084), align with State and City clean energy policy goals, support our customers in achieving their clean energy objectives, and integrate with the Company's comprehensive electric and gas grid planning processes.

We also propose Earnings Adjustment Mechanisms (EAMs) focused on realizing customer benefits and achieving State and City clean energy goals.

Q. What period does your testimony cover?

A. Our testimony covers the 12-month period ending December 31, 2026 (Rate Year, Rate Year 1, or RY1), the 12-month period ending December 31, 2027 (Rate Year 2 or RY2), and the 12-month period ending December 31, 2028, (Rate Year 3 or RY3). The Company has proposed a rate plan for RY1 only but, as the Accounting Panel explains, is interested in pursuing a multi-year rate plan in settlement discussions with Department of Public Service staff (Staff) and interested parties. We have provided RY2 and RY3 data for the purpose of facilitating any such discussions.

Q. Please summarize the proposals outlined in this testimony and their associated costs.

A. The CES Panel is requesting $142.8 million in capital funding ($47.6 in each of RY1-RY3). Please refer to Exhibit___(CES-1) for a summary of the Panel's capital requests within this testimony. The CES Panel is requesting $10.7 million for incremental O&M ($7.8 in RY1, $1.8 in RY2 and $1.1 million in RY3). Please refer to Exhibit___(CES-2)

for a summary of the Panel's incremental O&M requests within this testimony.

Q. Are any CES investment requests discussed elsewhere in this filing?

A. Yes. The IT Panel discusses the IT projects necessary for the clean energy transition. As explained by the IT Panel, the Company is requesting $386 million for capital ($125 in RY1, $128 in RY2 and $133 million in RY3) and $23 million ($11 in RY1, $6 in RY2 and $6 million in RY3) for incremental O&M for CES-related IT projects. Exhibit___(CES-5) summarizes all CES investments and identifies whether they are discussed in this Panel or the IT Panel. Please also refer to Exhibit___(IT-1) and Exhibit___(IT-2) for summaries of the IT Panel's capital and incremental O&M requests, respectively. A white paper further describing each CES-related IT project is included in either Exhibit___(IT-4), Exhibit___(IT-5), or Exhibit___(IT-6).

Q. Where in the IT Panel are CES-related IT investments discussed?

A. Select CES-related IT investments are discussed within Customer Application and Clean Energy/Operational Projects sections of that testimony. All CES-related IT investments

are discussed within either Exhibit___(IT-4), Exhibit___(IT-5), or Exhibit___(IT-6).

Q. Does your testimony include requests for additional staffing?

A. Yes. CES is requesting a total of 96 incremental Full-Time Equivalents (FTEs) across our portfolio of projects and programs, inclusive of CES initiatives within both the CES and IT Panels. This Panel includes a request for 71 incremental FTEs, which are summarized in Exhibit___(CES-3). The remaining 25 incremental FTEs requested by CES are associated with IT-related projects discussed within the IT Panel and are summarized in Exhibit___(IT-3).

E. Overlap with Other Commission Proceedings

Q. Are some of the projects and programs discussed in this Panel affected by other ongoing Commission proceedings that may have orders issued during the pendency of this proceeding?

A. Yes, there are several. They include New Efficiency: New York (NENY, Case No. 18-M-0084), Energy Storage Deployment (Storage, Case No. 18-E-0130), and Grid of the Future (Case No. 24-E-0165).

Q. Please discuss the **NENY** proceeding and what the Commission has said it will accomplish.

A. The NENY framework governs the statewide energy efficiency and building electrification programs administered by the State's utilities, with the goal of reducing building energy consumption and decarbonizing buildings. These programs were authorized under the NENY proceeding for 2020-2025. The Commission has an ongoing Interim Review process to establish and fund energy savings goals for 2026-2030.

Q. How does the NENY proceeding influence Con Edison's clean energy offerings?

A. The Company offers a portfolio of programs under the NENY framework to residential and commercial customers in its service territory, including dedicated programs to LMI customers. The Company's NENY Interim Review filing proposes to extend and expand its programs, reflecting, for example, the focus on "deeper" building upgrades, in the 2026-2030 period (NENY Interim Review Filing).

Q. What is the overlap between the request in this proceeding and the pending proceeding?

A. Currently, NENY authorizes cost recovery for energy efficiency and building electrification customer incentives

and third-party implementation costs; program staffing (e.g., labor to design, implement, and operate programs) is addressed in rate cases. The Company has proposed that labor associated with these programs be included in the NENY proceeding since this aligns the timing of the authorization of the Company's energy efficiency and building electrification program funding and targets with the associated labor necessary to successfully design, implement, and operate the programs.

However, since an order has not been issued in the NENY proceeding, the Company is also including in this rate proceeding a request for the funding associated with program labor necessary to support its "Base" portfolio proposal. The CCEP Staffing section below includes further detail on the requested funding.

Q. What does the Company recommend if the Commission issues an order on NENY that affects the request?

A. If the Commission approves the Company's "Base" portfolio and its associated program labor request in the Interim Review Order, the Company will withdraw its funding request in this proceeding.

Q. Please discuss the **Storage** proceeding and what the Commission has said it will accomplish.

A. The Storage Roadmap, initiated in 2018, provides recommended near-term policy, regulatory, and programmatic actions to support energy storage deployment in the State. On June 20, 2024, the Commission approved the current Storage Roadmap (Storage Order), which was proposed by the New York State Energy Research and Development Authority (NYSERDA). The Storage Order established a goal of 6 gigawatts (GW) of energy storage across the State by 2030 and extended the Utility Dispatch Rights program through 2030. The New York State Joint Utilities subsequently filed a study on the non-market use cases that utility-integrated energy storage can provide and are awaiting a Commission order.

Q. What is the overlap between the request in this proceeding and the Storage proceeding?

A. There is no overlap between the outcome of future activities or Company proposals in the Storage proceeding and this rate case request. Any new utility-integrated projects will be proposed in the Storage proceeding.

Q. Are you proposing new storage projects in these proceedings?

A. No. Our rate case request, discussed in the Utility-Integrated Storage Management Program section, discusses operational costs for existing utility-integrated storage projects. Any new utility-integrated projects will be proposed in the Storage proceeding, and it is anticipated that supporting FTEs for those new facilities will be authorized through programs and/or projects through the Storage proceeding.

Q. What does the Company propose if a Commission order in the Storage proceeding authorizes funding for some or all labor for existing and future utility-integrated storage facilities through that proceeding?

A. The Company will amend or withdraw its request.

Q. Please discuss the **Grid of the Future** proceeding and what the Commission has said it will accomplish.

A. The Grid of the Future proceeding is intended to unlock innovation and investment to encourage adoption and deployment of flexible resources – such as DERs and virtual power plants (VPPs) - to support achievement of the State's clean energy goals. The proceeding promotes investments in flexible resources as well as necessary supporting utility

capabilities that can provide flexible demand and supply services.

Q. What is the overlap between the request in this proceeding and the Grid of the Future proceeding?

A. There is no overlap in terms of capital or expense requests. But several investment requests in this rate proceeding support the Grid of the Future proceeding, including several CES-related initiatives in the IT Panel. These include, for example, the continued development of a Distributed Energy Resource Management System (DERMS) as part of Integrated Grid Management Visualization Optimization (IGMVO), which will advance visibility and operation of flexible resources, and the Grid Energy Renewable Lab (GERL), which provides a platform to test and qualify customer and utility-side technologies to support integration and operation of flexible resources to be deployed on the Company's grid. These, and other proposed investments, are critical to build the Company's capabilities to coordinate flexible resources across multiple system levels – from the bulk power system through to the grid edge – and across multiple system operators and entities.

Q. What does the Company propose if a Commission order authorizes funding for some or all labor for Grid of the Future programs and other activities through that proceeding?

A. The Company will amend or withdraw its request.

II. Project and Program Discussion

A. Summary Information

Q. Please briefly explain the clean energy transition investments you are proposing.

A. Our proposed capital investments and O&M expenses fall into two primary categories: **Customer Empowerment** and **Grid Visibility and Flexibility**.

B. Customer Empowerment Initiatives

Q. Please explain the term "customer empowerment."

A. Customer empowerment means providing customers, contractors, stakeholders, and other interested parties with the programs, tools, data insights, and financial and other resources to help them make informed decisions about their clean energy investments and behaviors.

Q. What initiatives are included in this category?

A. There are eight initiatives in this category.
Four are discussed in this testimony:

(1) **Affordable Multifamily Electrification Pilot;**

(2) **Customer Clean Energy Programs (CCEP) Staffing;**

(3) **Electric Vehicle (EV) Technology and Market Studies;** and the

(4) **Select Pricing Plan (SPP) Price Guarantee.**

There are four IT initiatives in this category included in the IT Panel:

(5) Customer Recommendations and Analysis Tools, referred to here as **Customer Analytics, Reporting and Engagement (CARE);**

(6) **Building Energy Usage Portal (BEUP);**

(7) **Integrated Energy Data Resource (IEDR)** (the Accounting Panel addresses cost recovery); and

(8) **Phase Zero Technology Roadmap for Rate Engineering.**

White papers further detailing each IT related initiative are included in Exhibit___(IT-4) or Exhibit___(IT-5).

Affordable Multifamily Electrification Pilot

Q. Please describe the Affordable Multifamily Electrification Pilot.

A. The Affordable Multifamily Electrification Pilot (Affordability Pilot or Pilot) will address an anticipated "cost shift" stemming from heating electrification in certain affordable multifamily (i.e., five or more units) buildings by providing bill credits to eligible residents to cover incremental heating costs. In buildings with centralized fossil heating systems, which are tied to the building meter, heating costs are typically included in the residents' rent or common charge. Upon conversion to in-unit heat pump systems, which are likely to be tied to residents' electric meters, the resident becomes responsible for heating charges as part of his or her electric bill. That heating cost shift is expected to increase residents' total housing costs (i.e., rent plus energy costs) in situations where rent is not regulated by a housing agency.

Q. Why is the Company proposing this Pilot?

A. To achieve the State's goal of electrifying one million homes by 2030 as stated in the New York State Climate Action Council's Scoping Plan and Governor Hochul's 2022 State of the State, both affordable and market rate multifamily buildings will need to replace centralized fossil heating systems with efficient electric heating alternatives.

(Although the Company administers customer incentive programs for heating electrification through Clean Heat, the NENY framework currently targets Clean Heat towards market rate customers in part due to concerns about cost shifts for low-income customers in electrifying heat.) The Pilot is designed to evaluate the heating cost shift and inform mitigation efforts, such as programmatic design and policy solutions, by collecting data for the Company, Staff, and other stakeholders. Through these mitigation efforts, the Company hopes to expand eligibility of its Clean Heat offerings to all customers in support of State goals.

Q. How will the Company determine which buildings are eligible for this Pilot?

A. If this Pilot is approved, the Company will extend eligibility for its Affordable Multifamily Energy Efficiency Program – Electrification (AMEEP-E) to naturally occurring affordable housing (NOAH) and low-income cooperative buildings. While affordable multifamily buildings that are regulated by housing agencies (e.g., New York City Housing Preservation and Development, New York State Homes and Community Renewal) are subject to regulatory requirements that prevent this cost shift described above, unregulated

NOAH Buildings lack these protections. Low-income cooperative residents, while positioned somewhat differently in that their elected shareholder boards are empowered to make capital expense decisions on their behalf, will nonetheless bear the brunt of new costs associated with installing and operating in-unit heat pump systems.

Q. Which residents in participating buildings will receive the Pilot bill credit?

A. The Pilot will provide bill credits to residents who are enrolled (or eligible to be enrolled) in the Company's existing bill discount program, the Energy Affordability Program (EAP).

Q. Please expand on the interaction between the Affordability Pilot bill credit and the EAP discount.

A. The Pilot bill credit will be incremental to the EAP discount because the EAP discount alone does not mitigate the increase in total housing costs. Currently, the EAP Tier 1 electric heat and electric non-heat discounts are the same despite increased electric usage when a customer transitions to electric heating.

Q. Why is the Company proposing the Affordability Pilot through the rate case, as opposed to other procedural venues?

A. Neither NENY nor the Statewide Affordability proceeding (Case 14-M-0565) are the appropriate procedural venues to address this Pilot. The Pilot's bill credits will not generate incremental energy savings beyond the Company's January 2024 proposal for AMEEP-E, making the Pilot inconsistent with the overarching goal of the Company's NENY portfolio. Also, the cost shift issue described above will be most prevalent in Con Edison's dense urban service territory, so it is appropriate that the Pilot be included in this rate proceeding and any learnings can be applied to other State regions as part of the Affordability proceeding.

Q. What information does the Company plan to collect for its analysis to inform policy recommendations?

A. The Company will collect data from residents to quantify total housing cost changes, inclusive of changes in their energy burden (calculated by dividing annual energy costs by annual income), housing burden, and consumption profiles as well as any energy savings resulting from the conversion of fossil equipment to electric heat pumps.

Q. Will the Company engage stakeholders?

A. Yes. The Company will engage the market to learn about the effectiveness of our programs and how they can be improved.

In anticipation of the Pilot, if authorized, the Company will convene a Working Group comprised of subject matter experts (SMEs) from the broader affordable housing community.

Q. What does the Company expect to do with learnings from this Pilot?

A. The Company expects to file a final report summarizing Pilot findings and final policy recommendations in advance of the Pilot's conclusion.

Q. What O&M funding is required for this project during 2026-2028?

A. The O&M request for program costs is $1.2 million: $0.6 in RY1, $0.2 in RY2, and $0.4 million in RY3. These costs are for management, oversight, data collection and analysis. The costs associated with the bill credits issued to Pilot participating customers will be deferred for collection in the next rate period. This deferral is included in the Direct Testimony of the Accounting Panel, Section XV(A)(1).

Q. Is the Company requesting additional labor to support the Affordability Pilot?

A. Yes, the Company is requesting two additional FTEs. One FTE will manage day-to-day activities and oversee the work of a

third-party implementation contractor who will be hired to support customer outreach, enrollment, and data collection, and a second FTE will be responsible for overseeing the implementation and issuing of the bill credits through the Company's billing system to participating customers. These FTEs are distinct from our CCEP Staffing request for NENY programs, discussed below.

Q. Has the Panel prepared an exhibit describing the Affordability Pilot?

A. Yes. An exhibit was developed under our direction and supervision under Exhibit___(CES-6).

Customer Clean Energy Programs (CCEP) Staffing

Q. Please briefly describe Con Edison's CCEP.

A. The Company offers its residential and commercial customers energy efficiency and building electrification programs to help them reduce their electric and gas energy consumption and transition to cleaner fuels to reduce greenhouse gas emissions and meet clean energy goals. The clean energy technologies incentivized include heating electrification, weatherization, and building controls.

Q. What support is the Company requesting in this rate case for

its energy efficiency and building electrification programs?

A. The Company is requesting recovery of Company labor costs to support the design, implementation, and operation of its programs funded through the NENY proceeding since, as noted earlier, labor costs for these programs have historically been addressed in rate cases.

The funding request is consistent with the Company's "Base" portfolio plan submitted in its NENY Interim Review Filing.

Q. What is the Company's request for CCEP Staffing?

A. For 2026-2028, the Company requests funding for 12 incremental FTEs as well as non-labor costs for training and general administrative expenses, including materials and supplies, and employee expenses.

Q. Why is the Company requesting 12 new FTEs for CCEP?

A. The incremental positions will launch new NENY Program offerings as well as grow existing offerings. Examples of the requested incremental positions are:

- **New LMI Multifamily Electrification Offerings:** Two new FTEs will create new building electrification offering(s) for regulated multifamily buildings that house LMI customers (not for the Affordability Pilot discussed above). The Company will launch a small-scale

pilot in 2025, focusing on incentivizing building electrification conversions in regulated LMI multifamily buildings. The plan is to expand into a full offering in 2026.

- **Growth in Ground-Source Heat Pump Offerings:** One new FTE will support growth in the Company's ground source heat pump (GSHP) offerings. The Company's NENY Interim Review Filing includes a fivefold increase in program savings in residential GSHP between 2024 and 2028, as well as significant increase in non-residential ground source heat pump savings, which had minimal savings in 2024.
- **New Customer Education and Internal Coordination Support for Large Electrification Projects:** Three new FTEs are required for customer education and support of internal coordination relating to service adequacy determinations and design and build of grid upgrades, where needed, for large electrification projects. To achieve NENY targets, the Company needs to increase large multifamily and commercial building electrification projects in 2028 by a factor of 1.7 compared to 2024 (340 projects in 2028 vs. 205 projects

in 2024). As part of the process, each customer electrification projects require a service adequacy determination, not generally a requirement for energy efficiency projects. The Company will educate program participants, including helping them to understand and undertake the service adequacy process.

Further details are included in Exhibit __(CES-6).

Q. Have you prepared, or had prepared under your supervision, exhibits that detail the Company's CCEP Staffing request?

A. Yes, additional information regarding this request can be found in Exhibit___(CES-3) and Exhibit___(CES-6).

EV Technology and Market Studies

Q. Please briefly describe Con Edison's EV programs.

A. The Company offers a portfolio of EV programs that promote EV adoption and buildout of an EV charging network, and encourage beneficial integration of EVs with the grid. Our portfolio of programs include:

(1) Infrastructure Programs: The PowerReady (PR) Light-Duty, Medium- and Heavy-Duty Pilot, and Micromobility programs provide incentives to offset the cost of bringing power to EV chargers; and

(2) Managed Charging Programs: SmartCharge New York (SCNY) Program for EV Drivers and SmartCharge Commercial (SCC)and SmartCharge Tech Programs for EV charging station operators pay cash incentives to eligible participants for off peak charging.

Q. Is the Company requesting funding for these programs in this rate proceeding?

A. No. Those programs are funded through Cases 18-E-0138 and 22-E-0064.

Q. What EV-related funding is the Company requesting in this rate proceeding?

A. The Company is requesting funding to expand its EV technology and market study efforts.

Q. Why is the Company requesting additional funding for EV studies?

A. The electric transportation market is still nascent, with EVs accounting for only 3% of the cars on the road in the Company’s service area today. The Company has expanded its program offerings in recent years to accelerate adoption, beneficially integrate EVs with the grid, and meet customer needs, launching three new programs in 2024 alone. To keep pace with the fast-evolving market and continue to address

new customer segments and offer new services, the Company requests incremental O&M to increase the funding for market and technology studies. This includes studies to engage in work in new or ongoing proceedings before a Commission order has authorized a new program. For example, a study was completed in advance of the Commission order authorizing the Company's SmartCharge Commercial program which required advance program design.

Q. Has the Company completed EV studies in the past?

A. Yes, the Company has completed studies on topics ranging from electric car, truck, and bus market characterization, electrification potential and financial analyses, benchmarking of program offerings and best practices with other utilities across the Country, assessment of the cost shift to non-EV customers of implementation of alternate rate structures, and a load study to project annual loads due to electrification of transportation through the 20-year window.

Q. How have past technology and market studies benefitted customers and supported the clean energy transition in the past?

A. These studies help the Company better understand customers'

clean transportation needs and identify gaps in market support, new technologies that can be leveraged for grid or customer benefit, and ideas for improving Disadvantaged Community access to the benefits of clean transportation. Study insights help inform customer program design and other customer services and offerings. For example, to evolve planning processes to prepare the grid for customer transportation electrification, the Company load study mentioned above provided a better understanding of how loads will be distributed across our service area and their expected growth over time, and illuminated urgent infrastructure upgrade needs to support near-term clean transportation projects.

Q. What are some expected areas of interest for study in the upcoming rate period?

A. For example, sectors where the Company is hearing significant interest in customer projects are the marine, aviation, and construction sectors which have not been studied in our territory. Additionally, the Company has not yet completed a study to understand the unique aspects of truck and bus electrification in its dense urban service area that will need to be addressed to effectively support

their electrification.

Q. What O&M funding is required for this initiative during 2026-2028?

A. The incremental O&M request in 2026-2028 is $1.9 million in RY1.

Q. Has the Panel developed an exhibit to further explain this incremental O&M request?

A. Yes, additional information regarding this request can be found in Exhibit___(CES-6).

Select Pricing Plan (SPP) Price Guarantee

Q. Please briefly describe Con Edison's SPP Price Guarantee.

A. The SPP Price Guarantee is a price guarantee offer for new or existing residential GSHP and air source heat pump (ASHP) customers who enroll in the optional SC 1 Rate IV (the Select Pricing Plan, or the SPP). Under the SPP Price Guarantee, a customer receives a credit following the first twelve-month period of billing under the SPP. The credit compensates the customer for any difference between what the customer paid during that period on SC 1 Rate IV and what the customer would have paid under SC 1 Rate I. The comparison is made on a total-bill basis for full-service

customers and on a delivery-only basis for retail access customers. Customers that leave the SPP prior to the conclusion of the first twelve-month period will receive a credit, if applicable, based on the period during which they took service under the SPP.

Q. Please describe the Company's proposal to extend the SPP Price Guarantee.

A. The Company proposes to extend the existing price guarantee to customers that have not previously enrolled in the SPP through December 31, 2028.

Q. Why is the Company proposing to continue offering the SPP Price Guarantee?

A. As the number of residential customers with heat pumps increases, the Company recognizes the importance of supporting customers with cost-based rate structures that may reduce their energy costs following their heating system conversion to support increased adoption of these cleaner heating technologies. The Company's SPP has reduced energy costs for some residential customers who use heat pumps to heat and cool their homes. Specifically, from January 1, 2023 through October 2024, of the 66 customers enrolled in the SPP for twelve months, 86% saw a decrease in their total

annual electricity bill compared to what their bill would have been had they stayed on the standard volumetric residential rate (SC 1 Rate I). The average annual decrease across enrolled heat pump customers was $1,000.

Q. Is the Company proposing any modifications to the current structure of the SPP Price Guarantee offering?

A. Yes. The Company proposes to remove the current enrollment cap of 500 GSHP customers and 500 ASHP customers. The Company proposes to offer the SPP Price Guarantee to all heat pump customers who did not previously enroll in the SPP from January 1, 2026 through December 31, 2028.

Q. What are the benefits of continuing to offer the SPP Price Guarantee with no enrollment cap for heat pump customers?

A. In 2024, the Company's Clean Heat program received more than 1,000 heat pump applications on average each month. The Company wants to continue offering the SPP Price Guarantee to meet potential increased market demand. Enrollment caps can introduce complexity in the implementation of the SPP Price Guarantee, since customer outreach and enrollment efforts need to be balanced with enrollment levels and caps, which can ultimately limit the reach of the program.

Q. What are the costs associated with the SPP Price Guarantee?

A. The costs depend on the number of customers enrolled in the SPP Price Guarantee, and their usage. Should the Company be successful in enrolling 1,000 residential heat pump applications each month from January 1, 2026 through December 31, 2028, the total amount to be paid under the SPP Price Guarantee is not expected to exceed $1 million for the entire 3-year rate period.

Q. How does the Company propose to recover the cost of the price guarantee?

A. Consistent with the treatment of the price guarantee under the Company's current rate plan in Case 22-E-0064, costs will be recovered from SC1 customers through the Revenue Decoupling Mechanism (RDM).

Q. How does the Company plan to track accomplishments and customer value in connection with the SPP Price Guarantee?

A. The Company will continue submitting an annual report to the Commission on March 1 of the year following each Rate Year, consistent with the Company's current rate plan in Case 22-E-0064.

C. Increasing Grid Visibility and Flexibility Initiatives

Q. Please explain what the Panel means by "grid visibility and flexibility."

A. By grid visibility, the Panel refers to the ability to view and monitor customer-level energy performance and operational data from customer-sided clean energy technologies. By grid flexibility, the Panel refers to the ability to coordinate both utility- and customer-sided clean energy technologies with traditional grid assets, including through building utility control capabilities. Expanding grid visibility and flexibility helps integrate customer and utility energy technologies – such as battery storage systems – with the grid and realize their benefits.

Q. How do Con Edison's proposals in this proceeding enable increased grid visibility and flexibility?

A. The Company is investing in programs, tools, and technologies to increase grid edge visibility, enhance DER interconnection customer experience, facilitate utility-integrated and customer-sited DER coordination, and leverage DERs to provide value to the grid.

Q. What is meant by the "grid edge?"

A. The grid edge is the point where utility infrastructure ends and the customer connects to the utility, which occurs at the customer meter.

Q. What initiatives are included in this category?

A. There are nine initiatives in this category.

Four proposals are discussed here:

(1) **AMI Equipment Purchase;**

(2) **AMI Metering Installations;**

(3) **Utility-Integrated Storage Management Program;** and

(4) **Distribution Planning Staffing.**

There are five CES-IT related projects included in the IT Panel:

(5) **AMI Communication Network Steady-State;**

(6) **Transforming Outage Management with Advanced AMI Integrations;**

(7) **REV-Grid Modernization (DSP);**

(8) **Integrated Grid Management Visualization Optimization (IGMVO);** and the

(9) **Grid Edge Renewable Laboratory (GERL).**

White papers further detailing all the five IT related projects are included in Exhibit___(IT-6).

Advanced Metering Infrastructure (AMI) Equipment Purchase and Metering Installations

Q. Please provide an overview of the Company's AMI initiative.

A. The Commission approved the Company's AMI system implementation through the 2016 AMI Order (Case No. 15-E-0050). Con Edison installed 4.85 million AMI meters in seven years and completed the AMI Project in June 2024.

Q. Please explain whether the AMI Equipment Purchase and AMI Metering Installations programs are new investments or the continuation of existing investments.

A. These are continuing programs. In 2024, upon completion of the project establishing AMI, the Company's Meter and Test group and the Electric Meter Shop were transferred from Electric Operations into CES to consolidate and align electric metering efforts. In the previous rate filing, Con Edison requested funding for these programs through the Electric Infrastructure and Operations Panel. Given organizational changes, the CES Panel is now requesting funding for these programs.

Q. Provide an overview of the AMI Equipment Purchase and AMI Metering Installations programs.

A. The AMI Equipment Purchase and AMI Metering Installations programs support the purchase and installation of AMI electric revenue meters and associated metering equipment for revenue collection as required by PSC regulations.

Q. Why is the Company requesting funding for these programs?

A. These capital program requests are required to purchase approximately 78,000 AMI electric meters and additional units of associated metering equipment per year to support new business installations (including existing customer upgrades), meter replacements, and PSC required testing.

Q. What capital funding is required for this program during 2026-2028?

A. The capital request for the AMI Equipment Purchase program in 2026-2028 is $45.0 million: $15.0 million in each of RY1, RY2, and RY3. The capital request for the AMI Metering Installations program in 2026-2028 is $97.8 million: $32.6 million in each of RY1, RY2, and RY3.

Q. Have you prepared, or had prepared under your supervision, exhibits that detail the Company's proposals for AMI Equipment Purchase and AMI Metering Installations?

A. Yes. We have prepared material in Exhibit___(CES-6).

Utility-Integrated Storage Management Program

Q. What is the next area of work that the Panel will discuss?

A. The next area of work that the Panel will be discussing is the Utility-Integrated Storage Management Program (Storage Program).

Q. What kind of work is included in the Storage Program?

A. The Storage Program includes ongoing operations and maintenance for existing utility-integrated battery energy storage system (BESS) facilities. Five FTEs will support inspection, operation, maintenance, performance optimization, and oversight of the facilities in addition to third-party vendor contracts, as well as strategic, design, and planning functions to promote storage development and operation across Con Edison's service territory.

Q. What utility-integrated BESS projects are supported by the Storage Program?

A. The projects are:

- Ozone Park 98th Street (commissioned as a 2 MW/12 MWh, on 6/1/2018);
- Fox Hills Substation (commissioned as a 7.5 MW/30 MWh, on 8/7/2023);

- Brownsville Substation (to be commissioned as a 5.8 MW/23.2 MWh for summer 2025); and
- Various Pole Mounted BESS (totaling 120 kW/600 kWh, various commissioned 2024-2025).

Q. Why is funding required for the Company's continuing Storage Program?

A. Con Edison continues to operate and maintain four BESS projects as well as optimize their performance.

Q. How does the Storage Program create value for customers?

A. The Storage Program provides grid services in a reliable and flexible manner for our customers. These projects support grid flexibility services like load balancing, voltage support, reactive planning, power quality improvement, peak shaving, and EV and DER integration. For instance, the Ozone Park and Brownsville Substation projects are part of the Brooklyn Queens Demand Management Program, providing load relief and deferring traditional investments.

Q. Is the Company requesting additional labor to support the Storage Program?

A. We are requesting five FTEs in support of this program.

Q. Please explain the need for this request.

A. FTEs will be responsible for the performance capabilities and maintenance of the BESS. Operational functions include Supervisory Control and Data Acquisition (SCADA) monitoring, alarm response support, data analysis, building new telemetry screens and applications for enhanced operation, and reporting on each system to maintain asset performance. This requires continued coordination with internal departments, such as Energy Management, Distribution Engineering, and System Operations, to dispatch the systems, adjust operating parameters, and optimize the dispatch for system and network benefits.

Maintenance functions include scheduled and un-scheduled maintenance of the systems, such as the upkeep of fire alarm and fire suppression systems, Fire Department of New York (FDNY) inspection requirements, and manufacturer requirements, helping to mitigate safety risks and prevent early reduction in system capacity.

Finally, Company personnel will build the necessary expertise to innovate and optimize asset functionality to support flexible grid operations.

Q. What O&M funding is required for this program during 2026-2028?

A. The incremental O&M request in 2026-2028 is $0.9 million.

Q. Have you prepared, or had prepared under your supervision, exhibits that detail the Company's proposed investment in the Storage Program?

A. Yes, additional information regarding the Storage Program can be found in Exhibit___(CES-6).

Distribution Planning Staffing

Q. Please explain Distribution Planning's function.

A. This team is responsible for the analysis and identification of new infrastructure needs at the area station and sub-transmission level for load relief, providing customer distributed generation interconnection support, and running flexible demand, demand response, non-wires solutions, and non-pipeline alternative programming.

Q. Why does the group need to expand its work?

A. This expansion is driven by three key trends: expected load growth due to electrification, increasing customer interest in DERs as demonstrated through rapid growth in interconnection queues, and emerging opportunities associated with the Grid of the Future proceeding. Transportation and heating electrification will increase

load, concentrating load in select areas and triggering area-specific upgrades. For example, in 2022 there were 13 area stations requiring load relief projects supplying 19 networks in the 10-year window. In 2025, there are now 29 area stations requiring load relief projects supplying 36 networks over 10 years due to the compounding effects of both increasing load in these networks and area stations already nearing capacity. As our customers transition to electricity for transportation and heating, they will rely on their electric service for more essential functions. To effectively address this growing demand, and the increasing connection of customer distributed generation to the grid, the Company is evolving its planning processes to identify and plan for necessary infrastructure upgrades to continue to provide reliable, and resilient service.

With increased customer interest in DER, the Company has observed a significant increase in distributed generation interconnection requests throughout the Company's service territory doubling from 7,394 in 2020 to 14,611 in 2024. There are over 7,400 applications representing 2.1 GW currently in queue, which would triple existing installed DER capacity. Additional resources are needed to support the

growing needs of interconnecting customers and developers. Finally, the ongoing Grid of the Future proceeding recognizes the importance and value of leveraging flexible demand resources on the distribution system, such as to support intermittent renewable generation. The work in this proceeding will necessitate strategic and operational resources to create a comprehensive suite of flexible demand programs when implementation begins in 2026.

Q. What is the Company's request for Distribution Planning Staffing?

A. For 2026-2028, the Company requests 38 incremental FTEs to support Distribution Planning initiatives.

Q. In which areas of Distribution Planning is the Company requesting these FTEs, and why?

A. The growth in Distribution Planning is primarily driven by the establishment of the Innovative Planning and Analytics and Flexible Demand teams, as well as the expansion of the DG Ombudsman team.

- The Innovative Planning and Analytics group is requesting eight FTEs to continue to evolve our planning processes to mitigate grid impacts and the potential for customer loss of load from increased

customer electrification. This includes capital planning design and analytics, probabilistic modeling, as discussed further in the Electric Infrastructure and Operations Panel, and forecasting process improvements.

- The Distributed Generation (DG) team is requesting seven FTEs to oversee and improve the interconnection process and customer experience. This includes accommodating the rapid volume and complexity growth in the interconnection queue, technical innovation of engineering offerings, FERC 2222 aggregator support, estimation of interconnection process and costs, hosting capacity map enhancements, and enhanced customer and external stakeholder communication.
- The Flexible Demand team is requesting six FTEs to develop and operate flexible demand programs as directed by the Grid of the Future proceeding with implementation expected to begin in 2026. This will include developing and implementing new flexible demand programs, streamlining existing programs, and analyzing program data and utility capabilities.

Q. Have you prepared, or had prepared under your supervision, exhibits that detail the Company's Distribution Planning Staffing request?

A. Further details can be found in Exhibit___(CES-3) and Exhibit____(CES-6).

Q. Are there any other CES initiatives that impact the Company's capital or incremental O&M requests?

A. Yes. There are four initiatives with incremental O&M funding requests.

Q. Please provide each initiative name and its associated O&M funding request.

A. **Digital Products Staffing**, with a total incremental O&M request of $0.6 million;

AMI Operations & Solutions Staffing, with a total incremental O&M request of $0.2 million;

Rate Engineering Staffing, with a total incremental O&M request of $0.6 million; and

Rate Implementation Team, with a total incremental O&M request of $1.1 million.

Q. Have you prepared exhibits that detail these requests?

A. Yes, additional information regarding these requests can be found in Exhibit___(CES-6).

III. Earnings Adjustment Mechanisms (EAMs)

Q. Please describe the mechanisms by which the Commission encourages the Company to promote beneficial clean energy outcomes.

A. EAMs provide utilities with meaningful financial incentives to achieve desired superior policy and customer outcomes, such as emissions reductions from various clean energy technologies or DER integration.

Q. Why are EAMs important and necessary?

A. EAMs incentivize utilities to focus on priority policy areas and achieve high performance beyond the high level customers and stakeholders expect. By rewarding high performance, EAMs drive innovation, new strategic and operational approaches, and alignment across the enterprise.

Q. What is the Company's approach to designing EAMs?

A. First, the Company considers policy goals, previous EAM experience, and stakeholder and customer priorities to establish EAM objectives. The Company then develops:

- metrics that measure progress towards outcomes,
- baselines that reflect historical and projected market or program data to represent Company performance without an EAM, and

- stretch targets that encourage ambitious exceedance of the baseline.

Ambitious but achievable targets are a cornerstone to effectively incentivizing utility focus and efforts along with meaningful policy and customer outcomes.

Q. Please describe how historical EAM experience and new policy objectives have informed the Company's proposal.

A. The Company's proposed metrics, baselines, and targets are designed to build on lessons learned from previous EAM experience and align with policy goals, including, for example, CLCPA, the Advanced Clean Cars II (ACC II), Advanced Clean Trucks (ACT), Electric School Bus Roadmap, Energy Storage Roadmap, and Grid of the Future Proceeding.

Q. What EAMs are currently in place for Con Edison? And what do they incent?

A. Currently, the Company has 10 EAMs: nine through the current rate plan, and one additional EAM through the Proceeding on Motion of the Commission Regarding Electric Vehicle Supply Equipment and Infrastructure (Case 18-E-0138):

(1) Smart Building Electrification (SBE) (Electric) and

(2) SBE (Gas): Move the Company's energy efficiency and building electrification programs toward a more cost-

effective transition to building electrification;

(3) Demand Response: Increase customer participation and performance in DR programs;

(4) Light-Duty Vehicle (LDV) Emissions: Accelerate light-duty EV adoption and decrease lifetime CO2e (carbon dioxide equivalent) emissions;

(5) Transportation Interconnection: Reduce the average timeline for transportation electrification projects from application to energization;

(6) Residential Managed Charging: Increase EV enrollment in the SmartCharge New York managed charging program and encourage participants to avoid charging during system peak hours;

(7) Commercial Managed Charging: Increase EV charging station enrollment in the SmartCharge Commercial managed charging program and encourage participants to reduce charging during network peak hours;

(8) Distributed Energy Resources (DER) Utilization Solar: Support the interconnection of DER customer solar;

(9) DER Utilization Storage: Support the interconnection of customer DER storage; and

(10) EV Make-Ready Program: Meet Level 2 (L2) and Direct

Current Fast Charging (DCFC) program targets at lower-than-baseline costs (from Case 18-E-0138).

Q. Does the Company propose to continue the current EAM portfolio in the next rate plan?

A: The Company's proposal builds on experience gained in recent years and leverages the existing EAM portfolio. The Company proposes eight EAMs in this proceeding.

Q. Are the eight EAMs similar to existing EAMs?

A, Yes. The Company proposes to continue all existing EAMs with two changes: (1) discontinuing the SBE (Electric) and (Gas) EAMs, as directed in the NENY Order, and (2) introducing one new Bus Emissions EAM.

Q: What EAMs does the Company propose?

A. They are:

(1) Demand Response;

(2) DER Utilization Solar;

(3) DER Utilization Storage;

(4) Transportation Interconnection;

(5) Residential Managed Charging;

(6) Commercial Managed Charging;

(7) Light-Duty Vehicle Emissions; and

(8) Bus Emissions.

Q. Have EAMs been effective?

A. Yes. EAMs encourage an enhanced focus and enterprise alignment for programs and initiatives, such as DER interconnections, demand management, electric vehicle charging, and energy efficiency. To deliver policy- and customer-driven outcomes that exceed ambitious baseline targets, the Company developed new processes and focused on how to support and encourage efforts to exceed these targets.

For example, to meet the Transportation Interconnection EAM, the Company developed a cross-enterprise initiative to analyze and monitor each step in the transportation interconnection process that resulted in a roadmap for improvements. Through this effort, the Company continues to reduce timelines, provide customer transparency, and create new tracking tools. The Company also launched a weekly cross-organizational project meeting to establish cross-enterprise alignment and identify and resolve project delays on an accelerated timeline.

Additional timeline reduction and customer experience improvement initiatives included: developing new pre-engagement and advisory services to educate new customers

and provide decision-making analyses and tools, including a faster turnaround assessment of site capacity; reducing the time for utility handoffs in multi-step construction projects; coordinating with government agencies to identify permitting processes to speed construction timelines and avoid potential delays; and updating application portals to improve communication and increase customer visibility on project progression through visual updates and tracker of actionable items.

Q. Please provide a brief overview of any changes proposed to the seven current EAMs.

A. The Company proposes no changes to methodology of the Transportation Interconnection or Light-Duty Vehicle Emissions EAMs. To reflect policy and market changes and the learnings from the past three years, the Company proposes (1) updates to the Residential Managed Charging metric and the associated baselines and targets; (2) maintaining the same metrics as in the current rate plan for the Demand Response, DER Utilization Solar, DER Utilization Storage, and Commercial Managed Charging EAMs with adjustments to the baselines and/or targets; and (3) changes to the basis points for all EAMs. The details will be discussed below.

Please refer to Exhibit___(CES-7) EAM Exhibit, Section 2 for a summary of proposed EAMs in this rate plan compared to prior rate case.

Q. How are earnings for each EAM calculated?

A. The earnings for each EAM are calculated as a certain number of basis points for the Con Edison electric rate base, which is set proportional to the benefits that can be achieved through performance under the EAM. Overall, the total proposed annual EAM earnings opportunities are set at 68 basis points. Exhibit___(CES-7) EAM Exhibit Section 3 provides a summary of EAM basis points allocated to each specific EAM and Exhibit___(CES-7) EAM Exhibit Section 4 quantifies the respective societal benefits.

Q. Has the Panel prepared an exhibit describing its proposed EAMs?

A. Yes, Exhibit___(CES-7) provides a summary of the Company's proposed EAMs, including objectives, metrics, and basis points, as well as how the EAMs compare to the prior rate period.

Q. Has the Company quantified the benefits associated with its proposed EAMs?

A. Yes. Please refer to Exhibit___(CES-7) EAM Exhibit Section 4

for a breakdown of the benefits for each respective EAM.

Proposed EAMs

(1) Demand Response

Q. What is the objective of the Demand Response EAM?

A. The Demand Response EAM (DR EAM) incentivizes the Company to increase participation in Demand Response (DR) programs beyond historical growth trajectories. This includes the Company's DR programs such as Commercial System Relief Program (CSRP), Distribution Load Relief Program (DLRP), Term Dynamic Load Management (Term-DLM), Auto Dynamic Load Management (Auto-DLM), and Bring Your Own Thermostat (BYOT) programs, as well as the NYISO Special Case Resource (SCR) program.

Q. How does the proposed DR metric align with policy objectives and create value for customers?

A. This metric challenges the Company to grow programs by increasing the total operationally available megawatts (MW) achieved by demand reduction participants. The DR EAM promotes grid flexibility, which is increasingly important to the clean energy transition as more customers shift to electric technologies, by developing a larger demand

response participant pool that can reliably be called upon to reduce peak demand and during system contingencies. DR programs provide a variety of benefits to the grid including peak shaving and reliability. There is value in continuing this EAM because as load growth increases, and there is a need for a more flexible grid as we also evolve our energy supply to cleaner sources, expanding the reach and efficacy of DR will continue to provide even greater benefits to customers, the grid, and the State's clean energy goals.

Q. Are there any proposed changes to this EAM?

A. No changes are proposed to the measurement approach or baselines compared to the current rate plan. The Company is proposing changes to the targets.

Q. Please describe how the Company will measure this EAM.

A. The proposed DR EAM is measured as the total incremental MW of demand reduction from the Company’s DR programs and the NYISO SCR program. To measure incremental MW from Company DR programs, the Company will use data calculated using the methodology that the Company employed when reporting 2017 – 2024 DR program data in the Company’s Annual Demand Response Program report. This entails using interval meter data and a

baseline methodology, as well as smart devices for certain programs. The incremental MW is calculated as the year-over-year change in operationally available MW. The operationally available MW, or achieved reduction, is calculated based on actual performance (rather than MW enrolled). To measure incremental MW from the NYISO SCR program, the Company will use data from NYISO's Annual Report on Demand Response Programs.

Q. Please describe the Company's proposed approach to setting the baseline and targets.

A. Consistent with the current rate case, the baseline for each Rate Year is determined based on meeting the historic program growth rate (Annual DR Growth Rate) and is updated each Rate Year based on the prior year's actual performance. Targets for each Rate Year are determined based on exceeding the Annual DR Growth Rate. The Annual DR Growth Rate is calculated as the compound annual growth rate in program enrollment over a three-year baseline period from 2019-2024, excluding the pandemic years of 2020 and 2021.

Q. Please describe the proposed targets for the DR metric.

A. The Company proposes new targets set at multiples of 1.15x, 1.3x, and 1.5x above the baseline Annual DR Growth Rate for

the minimum, midpoint, and maximum targets, respectively.

Q. Please describe the target calculation methodology.

A. The operationally available MW required to meet the target is calculated as the product of the prior year operationally available MW, the Annual DR growth rate, and the target multiplier. The target calculation methodology is unchanged from the current rate period; only the proposed target multipliers are modified.

Q. Why is the Company proposing a change to the target multipliers?

A. The Company expects enrollment reductions due to two factors: changes to the SCR program and new City emissions rules.

As to SCR, the future growth trajectory of the NYISO SCR program is uncertain. This is a NYISO designed and administered program. Additionally, recent SCR program changes, including those to capacity factors, caused enrollment volatility in the 2019-2024 EAM baseline period. During the 2026-2028 rate plan, these programmatic changes may cause decreased growth in the SCR program compared to Company DR programs. If SCR participation declines on an absolute basis, the proposed targets would require the

Company DR programs to grow at a higher rate to compensate for the decline.

As to emissions, Rule 6 NYCRR Part 222 sets new emissions requirements for generation in the City. This rule is expected to affect the ability of diesel generators to participate in DR programs. The Company expects to see a decline in diesel participation in future years.

(2) DER Utilization Solar

Q. What is the objective of the DER Utilization Solar EAM?

A. The DER Utilization (DERU) Solar EAM incentivizes the Company to support customer adoption of solar photovoltaics (PV) in its service territory.

Q. How does the proposed DERU Solar metric align with policy objectives and create value for customers?

A. The DERU Solar EAM encourages increasing capacity of solar PV interconnected in Con Edison's service territory. The EAM supports CLCPA policy goals as well as the Commission's target of 10 GW of solar capacity statewide by 2030, as outlined in the NY-Sun Expansion Order (Order Expanding NY-Sun Program, Case 21-E-0629, April 14, 2022).

There is value in continuing this EAM because, with

increasing headwinds impacting the industry across the country, it may become more difficult for developers to continue to install solar PV at the pace required to meet the state target of 10 GW of solar capacity by 2030. Company efforts and innovation to support the installation of solar, such as automated interconnection processes and enhanced customer service to support developers, can smooth the interconnection process to help advance policy goals and help reduce the impact of industry trends challenging the market, such as inflationary cost pressures, high interest rates, and potential tariffs or reduction of federal tax credits.

Q. Are there any proposed changes to this EAM?

A. No changes are proposed for the measurement approach compared to the current rate plan. The Company is proposing changes to the baseline and targets to reflect the market.

Q. Please describe how the Company will measure this EAM.

A. Solar PV interconnections will be measured by the nameplate AC-MW capacity of each project that completes the Standardized Interconnection Requirements (SIR) process and is approved to commence operation, as reported in the Company's SIR Inventory Report.

Q. Please describe the Company's proposed approach to setting the baseline and targets.

A. The Company proposes using a three-year rolling average of incremental solar PV installed to set each year's baseline. For 2026, for example, the baseline will be the average of incremental solar PV installed for the three prior years 2023-2025. Continuation of the approach used in the current rate case, a regression trendline based on five-year historical data, will result in a steep trendline projection not representative of market realities given the level of maturity of solar installations in the Company's service territory and the challenges facing the solar industry. An adjustment to the baseline methodology will better represent market trends and support targets that are ambitious but achievable.

Q. Please explain why historical trendlines do not reasonably predict future market trends.

A. There are several reasons. First, historical trendlines will not be reflective of future trends. In 2024, nationally, after five years of consecutive growth, the residential solar market contracted due to high interest rates and solar financing costs (Solar Energy Industries Association Solar

Market Insights Report Q4 2024, December 4, 2024, seia.org/research-resources). Second, growth in larger projects has also slowed. Many developers paused their projects due to additional Inflation Reduction Act considerations, such as prevailing wage requirements. Third, looking forward, shifts in federal policy, such as increased tariffs on imported solar panels, may additionally slow industry growth. A three-year rolling average baseline would incorporate and reflect the most recent annual changes in market conditions.

Q. Please describe the proposed targets for the DERU Solar metric.

A. The Company proposes new targets of 5%, 10%, and 20% above the baseline for the minimum, midpoint, and maximum targets, respectively.

Q. Why is the Company proposing changes to the targets?

A. In the current rate case, while the Company supported the interconnection of all projects in the queue, the minimum targets of 95.2 MW and 104.5 MW were out of reach. The Company supported interconnection of 92.1 MW and 12,000 projects in 2023 and 100.1 MW and 10,500 projects in 2024, record performances for both years compared to a historical

average of 61.5 MW and 7,000 projects from 2018-2022.

(3) DER Utilization Storage

Q. What is the objective of the DER Utilization (DERU) Storage EAM?

A. The DERU Storage EAM incentivizes the Company to support customer adoption of battery energy storage systems (BESS) in its service territory.

Q. How does the proposed DERU Storage metric align with policy objectives and create value for customers?

A. The DERU Storage EAM metric is the annual, incremental nameplate of AC-MW capacity of customer-sited BESS interconnected in Con Edison's service territory. The metric encourages Company efforts to interconnect customers in support of meeting the State policy goal of 1,500 MW of retail energy storage by 2030, as outlined in the Storage Order (Order Establishing Updated Storage Goal and Deployment Policy, Case 18-E-0130, June 20, 2024). Given these increasingly ambitious targets, continuing this EAM is needed to provide a strong signal to achieve.

Increased deployment of BESS will enhance grid operations and utility planning, improve system reliability,

resiliency, and grid flexibility, and support the planned increases in intermittent renewable generation over the next several years. Company efforts to continue to implement new and innovative solutions to support customer adoption of BESS in its service territory will help the State achieve energy storage targets.

Q. Are there any proposed changes to this EAM?

A. No changes are proposed for the measurement approach and baseline methodology compared to the current rate plan. The Company is proposing updates to targets based on the Storage Order.

Q. Please describe how the Company will measure this EAM.

A. The capacity of BESS installations will be measured by the inverter AC nameplate rating of each project that completes the SIR process and is approved to commence operation, as reported in the Company's SIR Inventory Report.

Q. Please describe the Company's proposed approach to setting the baseline and targets.

A. Similar to the approach used in the current rate case, the Company proposes to set targets using the exponential growth curve to achieve its share, defined as the 35% share of energy storage procurements assigned downstate, of the

Storage Order's goal to interconnect 1,500 MWs of retail battery storage by 2030 (Order Establishing Updated Storage Goal and Deployment Policy, Case 18-E-0130, June 20, 2024, p. 59). The baseline is set as 65% of achievement of policy goals, which in MW installed is in alignment with historical trends.

Q. Please describe the proposed targets for the DERU Storage metric.

A. The Company proposes new targets using the same methodology as the current rate period. The Company proposes a minimum target set to 70% achievement of policy goals, midpoint target to 80%, and maximum target to 100%.

Q. Why is the Company proposing changes to the targets?

A. The Company updated targets based on the storage deployment goals outlined in the Storage Order.

(4) Transportation Interconnection

Q. Please describe the objective of the Transportation Interconnection EAM.

A. The Transportation Interconnection EAM incentivizes the Company to reduce the average timeline for interconnection of transportation electrification projects of 300 kW and

larger from application to energization for six distinct categories of utility-side work.

Q. How does the proposed Transportation Interconnection metric align with policy objectives and create value for customers?

A. Consistent with the EAM approved in the current rate case, the Transportation Interconnection EAM metric measures reductions in the interconnection timelines for transportation electrification projects of 300 kW and larger for six distinct categories of work. The six work categories are New Secondary Service Install, New Secondary Service Install & System Upgrade, New Overhead Service Install & System Upgrade, New Vault Service Install, Service Adequate – High Tension, and New High Tension Service. The categories are described in Exhibit__(CES-7) EAM Exhibit, Section 6. The EAM supports faster installation of EV charging, resulting in increased adoption of personal LDVs as drivers have more access to charging options, as well as quicker Light-Duty Vehicle and Medium- and Heavy-Duty Vehicle fleet conversions. Accelerating transportation electrification aligns with the State's CLCPA, ACC II, ACT, and school bus electrification policy goals and mandates.

The adoption of the Transportation Interconnection EAM

decreased average interconnection timelines from 789 days to 630 days for EV cases greater or equal to 300 kW across 2023 and 2024. Thus, experience demonstrates that this EAM is successful in driving outcomes and continuing this EAM will create additional value.

Q. Are there any proposed changes to this EAM?

A. No changes in methodology are proposed for this EAM.

Q. Please describe how the Company will measure this EAM.

A. The Company will measure the interconnection timeline for each project based on data in its Customer Project Management System (CPMS) which tracks project timelines from application submission to energization.

Q. Please describe the Company's proposed approach to setting the baseline and targets.

A. The baseline for each rate year will be based on the historic average number of days from project application to energization for all load request projects completed by Con Edison across the six work categories from January 1, 2019 to August 31, 2024. This expands the baseline dataset by three years compared to what was used in the prior rate case. The lengthened timeline and increased sample size reduce the impact of anomalies skewing the data in both

directions. A MW weighting will be applied to the historic timeline averages to put more emphasis on completion of larger projects.

Q. Please describe the proposed targets for the Transportation Interconnection metric.

A. No changes are proposed to the targets. Targets will be set as a percent improvement in the weighted average interconnection timeline relative to the historical baseline. The percent improvements for the minimum, midpoint, and maximum in each rate year will be the same as 2025, in the prior rate case: 13%, 20%, and 35%.

(5) Residential Managed Charging

Q. What is the objective of the Residential Managed Charging EAM?

A. The Residential Managed Charging (RMC) EAM incentivizes the Company to increase EV enrollment in the SmartCharge New York (SCNY) managed charging program and encourage program participants to avoid EV charging during system peak hours (2-6 pm).

Q. How does the proposed RMC metric align with policy objectives and create value for customers?

A. Increased EV adoption in furtherance of the State's goals will impact the electric grid. Managed charging is expected to play a critical role in continuing transportation electrification. The Company offers managed charging programs that promote and encourage beneficial charging behavior in alignment with the Company's efforts to minimize system reliability risks, provide customer benefits, and support the State's clean energy and decarbonization goals. This metric encourages the Company to decrease peak coincident EV charging demand by 1) increasing enrollment in SCNY and 2) avoiding on-peak charging by SCNY participants. By reducing peak coincident EV charging demand, the SCNY program helps to delay or avoid infrastructure updates and associated costs, as well as reducing carbon emissions from generation during peak times, and by incentivizing grid-beneficial charging behavior, the program ingrains these beneficial behavioral changes in EV drivers. There is value in continuing this EAM because as EV adoption continues to increase, new EV drivers will begin to shift from highly engaged early adopters to the mainstream. It will become important to reach this new population of EV drivers to mitigate the grid impacts of EV charging. Continuing the RMC

EAM will encourage the Company to prioritize enrolling and engaging EV drivers at a key point in EV adoption. Furthermore, as the Company gains an increasing understanding of grid flexibility, it can push to maximize this resource while at the same time limiting peak demand from moving upwards.

Q. Are there any proposed changes to this EAM?

A. The Company is proposing changes to the metric and adjusting the baseline and targets accordingly. No changes are proposed to the measurement approach.

Q. Please describe changes to the RMC metric.

A. The proposed RMC metric measures avoided peak charging in kW per battery electric vehicle (BEV) on the road in the Company's service territory. The Company proposes to remove plugin-hybrid electric vehicles (PHEVs) from the RMC metric.

Q. Why is the Company proposing changes to remove PHEVs from the RMC metric?

A. Compared to BEVs, PHEVs on average have smaller batteries, lower maximum charging capacity, and tend to need to charge less frequently (given the ability to operate with both gasoline and electricity). Therefore, the benefits to the grid of avoiding charging during system peak hours are

higher for BEVs than PHEVs. The Company proposes to remove PHEVs from the RMC metric and focus entirely on BEVs. The change is minimal as BEVs are the majority of SCNY program participants. PHEVs would still be eligible to participate in the SCNY program, as it is beneficial to ingrain these grid-beneficial behaviors in all drivers, but the Company would be incentivized to focus its efforts on enrolling BEVs to maximize societal benefits.

Q. Please describe how the Company will measure this EAM.

A. The Company will measure the actual maximum observed aggregate coincident vehicle charging demand for program participants during the system peak window, known as Pactual, through data from the SCNY program aggregated by its software partner. Pactual is calculated by measuring the highest charging load, aggregated across all program participants, in a single time interval during the summer period (June through September) and during system peak hours (2pm-6pm). The Company will use vehicle specifications to determine the maximum potential coincident vehicle charging demand for program participants, known as Pmax.

Q. Please describe the Company's proposed approach to setting the baseline and targets.

A. The baseline for each year will be determined based on the historic rate of enrolled vehicles as a share of total vehicles and the historic peak avoidance performance. The baseline enrollment percent and Pactual percent will be set to the prior year observed enrollment percent and Pactual percent, respectively.

Q. What changes is the Company proposing in the baseline growth rate and why?

A. The Company is proposing changes to (1) the enrollment growth rate and (2) the rate of change of Pactual. First, the baseline enrollment percent methodology is a change from the current rate period, where the baseline is set based on the historic growth rate in enrollment (Annual Enrollment Percent Growth Rate). This change reflects the maturation of the SCNY program and simplifies the baseline calculations. SCNY is one of the largest and oldest managed charging programs in the country, with a higher enrollment rate than peer programs that similarly rely on telematics and EV charger data reviewed in internal benchmarking. In 2024, SCNY grew enrolment to approximately 25% of all EVs in the Con Edison service territory. By contrast, another large program, Eversource's Electric Vehicle Home Charger Managed

Charging program in Connecticut, has an enrollment of over 3,000, or approximately 10% of the market (Smart Electric Power Alliance, The State of Managed Charging in 2024, p.39; EV Club of CT, https://evclubct.com/interactive-ev-dashboard-january-2024/). Historical SCNY enrollment data suggests that the program's market share (i.e., the percentage of EVs in the Company's service territory that are enrolled in SCNY) has begun to plateau after steep growth in prior years. As a mature program that is approaching market saturation, keeping pace with market growth is an appropriate baseline. Additionally, the change in enrollment rate baseline methodology simplifies the baseline and target calculations and facilitates the change in metric to focus on BEVs.

Second, the Pactual percent methodology is also changed from the current rate period, where the baseline Pactual percent is fixed for each year of the rate period. Updating the Pactual percent each year based on the prior year performance incentivizes the Company to improve peak avoidance performance year over year.

Q. Please describe the proposed targets for the RMC metric.

A. No changes are proposed to the minimum and midpoint targets.

Targets will be set as a percent improvement in avoided peak charging per BEV relative to the baseline and are updated each Rate Year based on the prior year's actual performance. The Company proposes targets of 5%, 10%, and 20% above the baseline for the minimum, midpoint, and maximum targets, respectively. The maximum target represents an increase from the 2024-2025 EAM targets to account for the change in the baseline methodology.

(6) Commercial Managed Charging

Q. What is the objective of the Commercial Managed Charging (CMC) EAM?

A. The CMC EAM incentivizes the Company to increase enrollment of charging kW in the SmartCharge Commercial (SCC) program and encourage program participants to avoid EV charging during network peak hours.

Q. How does the proposed CMC metric align with policy objectives and create value for customers?

A. Increased EV adoption in furtherance of the State's goals will impact the electric grid. Managed charging is expected to play a critical role in the deployment and efficient operation of EV charging stations as a flexible grid

resource, and thus transportation electrification. The Company offers managed charging programs that promote and encourage beneficial charging behavior in alignment with the Company's efforts to minimize system reliability risks, provide customer benefits, and support the State's clean energy and decarbonization goals. The proposed CMC metric measures avoided peak charging as a percent of all commercial charging capacity installed in the Company's service territory. This metric encourages the Company to decrease peak coincident EV charging demand by 1) increasing enrollment in SCC and 2) avoiding on-peak charging by SCC participants. The avoided peak demand will reduce the need for capacity purchases and infrastructure investments, as well as reducing carbon emissions from generation during peak times.

There is value in continuing this EAM because as EV adoption continues to increase, it remains important to mitigate the grid impacts of EV charging stations. Deployment of charging stations in the Company's service territory is expected to continue to increase rapidly in the next rate period. Indeed, additional charging infrastructure is necessary to support the step-change in EV adoption needed to meet policy

goals. Continuing the CMC EAM will encourage the Company to prioritize enrolling and engaging charging stations across a variety of end use cases.

Q. Are there any proposed changes to this EAM?

A. No changes are proposed to the metric or measurement approach. The Company is proposing changes to the baseline and targets.

Q. Please describe how the Company will measure this EAM.

A. The Company will calculate the difference between maximum possible demand for program participants (Pmax) and maximum observed aggregate coincident demand for program participants during the electrical network peak windows (Pactual), using data from the CMC program aggregated internally through the Company's program management platform.

The Company will track total charging capacity (kW) installed in its service territory using CPMS. Other Company data, such as PowerReady program data, may be used as a secondary source.

Q. Please describe the Company's proposed approach to setting the baseline and targets.

A. The baseline for each year will be determined based on the

historic rate of enrolled charging capacity as a share of the total installed charging capacity, and the historic peak avoidance performance, similar to RMC. The baseline enrollment percent and Pactual percent will be set to the prior year observed enrollment percent and Pactual percent, respectively.

Q. Why is the Company proposing a change in the baseline growth rate?

A. The baseline enrollment percent methodology is a change from the current rate period, where the baseline enrollment percent is set to the prior year observed enrollment percent multiplied by the growth of total installed charging capacity in the Company's service territory.

The SCC program was launched in 2024. In the initial years of the program, it was reasonable to assume that program enrollment would grow at a significantly faster rate than the underlying market growth rate. Dedicated marketing efforts and targeted outreach that began months prior the program launch led to strong market interest from leading developers, which allowed SCC to capture a significant share of the commercial charging market, over 15%, in its first year. By 2026, the Company expects the SCC program to be in

a more mature phase of program development in which its share of the total commercial charging market is more stable than the initial years.

Additionally, the commercial charging market is expected to grow rapidly in the coming years, as evidenced by both interest in Company infrastructure programs, such as PowerReady, and policy targets, such as ACC II and ACT. The current baseline methodology requires exponential growth and could realistically lead to enrollment targets exceeding 100% of the total installed charging capacity. In this fast-growing market, keeping pace with market growth requires increasing enrollment and is an appropriate baseline.

The Pactual percent methodology is unchanged from the current rate period.

Q. Please describe the proposed targets for the CMC metric.

A. No changes are proposed to the minimum and midpoint targets. Targets will be set as a percent improvement in total charging kW avoided relative to the baseline and are updated each Rate Year based on the prior year’s actual performance. The Company proposes targets of 5%, 10%, and 20% above the baseline for the minimum, midpoint, and maximum targets, respectively. The maximum target represents an increase

compared to the 2024-2025 EAM targets to account for the change in the baseline methodology.

(7) Light-Duty Vehicle Emissions

Q. What is the objective of the Light-Duty Vehicle (LDV) Emissions EAM?

A. The LDV Emissions EAM incentivizes the Company to facilitate accelerated adoption of Light-Duty electric vehicles (Vehicles less than 10,000lbs in gross vehicle weight--Class 1, 2A & 2B) in its service territory to decrease vehicle lifetime CO2 emissions. This includes battery electric vehicles (BEVs) and plug-in hybrid electric vehicles (PHEVs).

Electric LDV adoption directly leads to a reduction in CO_{2e} emissions because CO_{2e} emissions associated with the electricity used by LDVs are lower than CO_{2e} emissions resulting from a gasoline-based internal combustion engine (ICE).

Q. How does the proposed LDV Emissions metric align with policy objectives and create value for customers?

A. The proposed LDV Emissions metric is the total lifetime CO_{2e} emissions reductions provided by the adoption of light-duty

EVs (relative to emissions from ICE vehicles) in Con Edison's service territory in any given rate year. The State continues to aim for ambitious targets to electrify LDVs, as evidenced by the ACC II regulation (6 NYCRR Part 218). ACC II mandates increasing adoption of EVs, with 100% zero-emission new LDV sales by 2035. There is value in continuing this EAM since reaching these targets will require a step change in EV adoption, given that the current growth trajectory will result in a gap to ACC II goals starting in 2026.

The EAM aligns Company efforts with the ACC II regulation. It incentivizes the Company to take proactive action and also supports infrastructure readiness.

Q. Are there any proposed changes to this EAM?

A. No changes are proposed to the metric, measurement, baseline, and targets approach compared to the current rate plan.

Q. Please describe how the Company will measure this EAM.

A. Measurement will consider all incremental light-duty BEV and PHEV original registrations in the Company's service territory during each Rate Year. The Company primarily tracks original registrations in its service territory using

Atlas' EValuateNY, a NYSERDA funded tool that uses vehicle registration data from the New York State Department of Motor Vehicles (Atlas EvaluateNY, https://atlaspolicy.com/evaluateny/), and any other available sources.

The CO_{2e} reductions are calculated as the product of the per vehicle avoided CO_{2e} emissions from replacing ICE vehicle with a BEV or PHEV, the average number of miles travelled annually, the number of new electric LDVs registered, and the typical useful life of an electric LDV.

Q. Please describe the Company's proposed approach to setting the baseline and targets.

A. The Company proposes using the Electric Power Research Institute's (EPRI) year on year incremental forecasted adoption of electric LDV as a baseline. The increased electric LDVs are converted to CO_{2e} reductions as described above.

Q. Please describe the proposed targets for the LDV Emissions metric.

A. No changes are proposed to the minimum and midpoint targets: the minimum target is 5% above the baseline and the midpoint target is the midpoint between the minimum and maximum

targets. The maximum target is consistent with ACC II compliance requirements.

(8) Bus Emissions

Q. What is the objective of the Bus Emissions EAM?

A. The Bus Emissions EAM incentivizes the Company to accelerate adoption of electric buses in its service territory thereby reducing lifetime CO_{2e} emissions. This includes public buses, school buses, and other buses used for local or regional transportation.

Electric bus adoption directly leads to a reduction in CO_{2e} emissions because CO_{2e} emissions associated with the electricity used by electric buses are lower than CO_{2e} emissions from gasoline- or diesel-based ICE buses.

Q. How does the proposed Bus Emissions metric align with policy objectives and create value for customers?

A. The proposed Bus Emissions metric measures the total lifetime CO_{2e} emissions reductions resulting from the adoption of EV buses (relative to emissions from ICE buses) in Con Edison's service territory in any given rate year. The EAM supports CLCPA policy goals to reduce greenhouse gas emissions since ICE buses contribute significant carbon

emissions (a transit bus and school bus contribute 4 and 35 times, respectively, the annual carbon equivalent emissions compared to personal vehicles). This EAM also supports the City's Metropolitan Transportation Authority (MTA) Zero-Emissions Bus Fleet Goals ("Transitioning to a zero-emissions bus fleet", August 2024, https://new.mta.info/project/zero-emission-bus-fleet) – which commits to transition the entire bus fleet to zero-emissions buses by 2040, and the State's goal to transition to 100% zero-emissions electric school buses by 2035 ("New York State Electric School Bus Roadmap," September 2023, www.nyserda.ny.gov/All-Programs/Electric-School-Buses/Electric-School-Bus-Roadmap).

In addition to carbon emission reductions, this EAM also contributes environmental and public health benefits by reducing air pollution and noise, especially in Disadvantaged Communities where many bus depots are located and through which buses disproportionally travel ("Prioritizing Equity in Providing Technical Assistance to Underserved School Districts under WRI's Electric School Bus Initiative", August 2022, https://www.wri.org/update/prioritizing-equity-providing-

technical-assistance-underserved-school-districts-under-wris).

Q. Please describe how the Company will measure this EAM.

A. Measurement will consider all incremental electric bus original registrations in the Company's service territory during each Rate Year.

The Company primarily tracks original electric bus registrations in its service territory using Atlas' EValuateNY, a NYSERDA funded tool that uses vehicle registration data from the New York State Department of Motor Vehicles (Atlas EvaluateNY, https://atlaspolicy.com/evaluateny/), and any other available sources.

CO_{2e} reductions are calculated as the product of the per vehicle avoided CO_{2e} emissions from replacing an ICE vehicle with an EV, the average number of miles travelled annually, the number of new electric buses registered, and the typical useful life of an electric bus. While this metric measures carbon emissions, it is representative of greater public health benefits, including reduced particulate matter. Replacing ICE buses with electric buses leads to reductions in both CO_{2e} and particulate matter pollution, as ICE

vehicles emit both pollutants. Therefore, this single metric captures CO_{2e} emissions and is a proxy for reductions in particulate matter.

Q. Please describe the Company's proposed approach to setting the baseline and targets.

A. The Company proposes using EPRI's year on year incremental forecasted adoption of electric buses as a baseline. These incremental increases are multiplied by annual tons CO_{2e} avoided per unit and expected useful life to capture a lifetime ton CO_{2e} baseline.

Q. Please describe the proposed targets for the Bus Emissions metric.

A. The minimum, midpoint, and maximum targets are 50%, 350%, and 800% above the baseline, respectively. The maximum target is the State requirement of 100% of new bus sales from 2027 to be zero emissions, U.S. Environmental Protection Agency awards for school bus funding, and available capital plans from transit agencies. The midpoint target is the mid-point between the minimum and maximum targets.

Q. Does this conclude your initial testimony?

A. Yes.